

Yet the calls for a recession continued. They intensified in 2023, even as the S&P 500 added 25% and the Nasdaq gained 55%. This is yet another entry in a long series of predictions that continually reveal economists' long-term forecasts as uniquely useless.

Let's start with the math: That *WSJ* survey of economists stating a recession might occur within the next four years is a statement that contains almost *no information*. During the 20th century, there were 20 recessions, or one every five years on average.¹⁵⁵ If you predict a recession over the next four years you will be on average right 80% of the time. How much usable information is contained in a weather forecaster that predicts temperatures will fall this winter (in the northern hemisphere) and rise next summer? This prediction is, of course, absolutely true and of no value whatsoever.

Why do economists have a penchant for extrapolating current data series while ignoring the broader—and more important—context about economic cycles? Perhaps it is because they don't like admitting that they don't have any idea when the next recession will come. Almost without exception, economists failed to “anticipate the three most recent recessions of 1990, 2001, and 2007—even after they had begun.”¹⁵⁶ Do not expect any improvement on that track record any time soon.

Economists tend to use models that “reduce a complex economy to a rigid set of largely backward-looking relationships.”¹⁵⁷ Extrapolating from the recent past is a sure-fire recipe for being surprised by the next cycle turn.

This has not escaped the data analysts at various Federal Reserve banks. The Federal Reserve Bank of Cleveland looked at statistical models that estimate 12-month-ahead recession probabilities. The Federal Reserve Bank of New York has developed its own model.¹⁵⁸ Both found the limits of the forecasting models drop off dramatically when using time horizons of 12 months or more. The reason for this is that the standard economic measures used to predict recessions—the yield curve, corporate profits, credit